A RESOLVE GUIDE FOR ONTARIO HOMEOWNERS

There are usually more options *than it feels like.*

When the mortgage gets hard to carry, most people believe they have two choices: keep struggling, or lose the house. In reality, there is usually more room than that, and more time than it feels like on the day a letter arrives.

Every situation is different, and not all of this will fit yours. The point of this guide is to show you where you stand, which choices are still open, and what each one costs, so you can make a calm decision instead of a rushed one.

Your decision, on your timing.

> *"I work only on homes where the lender is already involved: arrears, notices of sale and court claims. Before this, I spent close to a decade in Ontario real estate law."*
>
> TARAN AUJLA, SALESPERSON

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1 · IF A LETTER HAS ALREADY ARRIVED

A letter from the lender *is not the end of your options.*

Three documents tend to arrive once payments fall behind, usually in this order.

USUALLY FIRST, FROM THE LENDER

Demand letter about missed payments

What it is	Usually the first formal letter, after a few missed payments. The lender or its lawyer asks for the arrears by a set date, and sometimes the full balance.
The timing	The date in the letter is your window.
What it means	The clock has started, but this is the stage with the most room. Clear the arrears by that date and the mortgage usually carries on. If not, a notice of sale or a claim usually follows, with legal costs added to what is owed.

FROM THE LENDER

Notice of Sale Under Mortgage

What it is	The lender's formal notice that it intends to sell under the power of sale in the mortgage.
The timing	Under the Mortgages Act, it can only be given after 15 days of default, and no sale can happen for at least 35 days after it.
What it means	The lender has started the steps to sell. The home stays in your name until it is sold.

FROM THE COURT

Statement of Claim

What it is	A court document that starts a lawsuit. The lender usually claims the amount owing, and often possession.
The timing	Under the Rules of Civil Procedure, an owner served in Ontario has 20 days to deliver a defence, or 30 with a notice of intent to defend. Without one, the lender can have the owner noted in default.
What it means	The matter is now in court, on court timelines.

What none of them means: that the house is gone. It stays in your name until it is sold, and selling it yourself at market value is often still possible while there is time. Each step adds costs, so the earlier the better.

The claim itself is a legal matter to discuss with a lawyer. General information only, not legal advice. Sources: Mortgages Act, R.S.O. 1990, c. M.40, s. 32; Rules of Civil Procedure, R.R.O. 1990, Reg. 194, rr. 18.01, 18.02, 19.01.

2 · IF YOU STILL HAVE TIME

Easing the pressure, *while you still can.*

If no letter has arrived yet, you have the most room. A few things are worth doing early.

- **Talk to your lender early.** Ask, in writing, what relief it can offer, such as a temporary payment deferral or a change to the payment schedule. It is a far easier conversation before an account is far behind than after.
- **Check for property tax relief.** Ontario municipalities are required to offer some relief, such as deferring tax increases, for low-income seniors and low-income people with disabilities. Your municipality's tax office can tell you what applies to you.
- **Re-shop your insurance.** Premiums often creep up quietly, and a fresh quote can be an easy saving.
- **Keep everything in writing.** Letters, emails and payment records. If things move further, the paper trail matters.

When the numbers no longer work

If the payments cannot be kept up even after these steps, the question changes. It becomes what the home is worth today, what is owing against it, and who decides how it is sold. That is what the next pages are about.

3 · BEFORE YOU CHOOSE

Before you choose: *the one number every option depends on*

Every route in this guide turns on the same two figures. What the property is worth **today**, and what is actually owing against it.

Not what you paid for it. Not the assessment. Not what sold on the street two years ago. Values have moved, and a plan built on an old number is a plan built on nothing.

- A plan to catch up only works if the payments can be kept up afterwards.
- A sale is worth looking at even if little or nothing would be left after the mortgage. Run early, it usually means fewer costs added to what is owed, and a closing date set around your move.
- And if the numbers come up short, it is far better to know that now, while there is still time to deal with it.

Most people reading this are working from a figure that is two or three years old. That is usually the difference between a plan that holds and one that falls apart in the second week.

So start there

If you would like to talk it through, call or text me. It is a private conversation about where the property stands and what selling it could look like, and nothing is decided on the call.

Then you can choose your next step knowing **which options are actually open to you**.

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4 · WHEN A SALE IS ON THE TABLE

The bank sells it. *Or you do.*

Same house. The difference is who runs the sale, and who it is run for.

	LENDER-LED **The lender sells it**	OWNER-LED **You sell it first**
Who it is run for	× The lender, to recover its loan	✓ You. Your agent and your lawyer work for you
The price	× Enough to cover the loan and its costs	✓ Set by the market, from real recent sales
Costs off the top	× The lender's legal and enforcement costs, its agent, then the mortgage	✓ Commission and your lawyer, then the mortgage
How it is sold	× As-is, with no seller disclosure. Buyers price in the unknowns	✓ Prepared and presented properly, on terms you agree to
Your move date	× Set by the lender's possession timeline	✓ Set around your next place
If it falls short	× The difference stays your debt	✓ Raised with the lender before the sale, not after
What is left for you	× Whatever remains after everyone else is paid, paid later	✓ Paid to you at closing
On your record	× A power of sale on title	✓ An ordinary sale on title

Why the timing matters

It is open while you still control the timing. Each month behind adds to what is owed, and nothing to what the house is worth. The one number from the page before tells you which column you are working in today.

General information, not legal or financial advice. Every lender and every file is different, and nothing here guarantees an outcome. Any shortfall is a matter between you and your lender.

5 · WHEN SELLING IS ON THE TABLE

If I sell, *where do I go?*

It is the first question almost everyone asks. It has a better answer than most people expect.

Where you go next is part of the plan. A sale you run closes around your move. When a lender sells instead, its timeline sets the day you leave.

If your credit has taken a hit, renting is usually the next step, and it is more within reach than it feels. Landlords look at income, references and a complete application, not only a credit score.

What I help with

- **Finding the next place,** timed to your closing date.
- **A complete application:** ID, income, references, proof of funds, and a short explanation where your credit needs one.
- **No gap between the two.** The closing and the move-in lined up.

Knowing where you are going makes every other decision easier. Waiting is the part that costs the most.

Approval is the landlord's decision, and nothing here guarantees one. A strong, complete application gives you the best chance.

WHEN SELLING IS THE RIGHT MOVE

The strongest version of a sale *is the one you run yourself.*

When the numbers point to a sale, the best outcome is usually a calm, well-run sale at market value, on a timeline you set, protecting as much of your equity as your situation allows. Not a lender's clock.



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REAL ESTATE SALESPERSON

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This is the only kind of file I take on: homes where a lender is already involved, with arrears, a notice of sale or a court claim.

Before this, I spent close to a decade in Ontario real estate law. The mortgage, the notice, the claim and the title are documents I worked with every day. You will not have to explain them to me.

What that means for you

- **A sale built to close.** Priced from real recent sales and documented properly, so it holds up for you and for anyone else who has to agree to it.
- **One person, start to finish.** You deal with me directly, and I answer my own phone.
- **Private and calm.** Your situation stays between us. Marketing is about the home, never about why it is for sale.
- **Your move planned in.** The closing date is built around your next place.

If you would like to talk any of this through, call or text me at (365) 645-7332.

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This guide is general information only. It is not legal, mortgage, tax or financial advice, and not an offer of those services. Every option here depends on your own situation and the rules that apply at the time, and nothing in it guarantees an outcome.